

HOUSE BILL 1163

By Stevens

AN ACT to amend Chapter ___ of the Public Acts of 2025 (1st Ex. Sess. – SB 6001 / HB 6004); and Tennessee Code Annotated, Title 49, Chapter 13 and Title 49, Chapter 3, relative to education funding for public charter schools.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 49-3-103(d)(3), is amended by adding the language "or public charter school" after the language "Explain how an LEA".

SECTION 2. Tennessee Code Annotated, Section 49-3-105, is amended by deleting subsection (d) and substituting instead the following:

(d)

(1) The funding that a student generates pursuant to this section must be administered and allocated by the department to the LEA in which the student is a member for the duration of the student's membership in the LEA, except that:

(A) The funding a student generates pursuant to subdivision (c)(3) must not be allocated to the LEA, but must be maintained by the department; and

(B) The state share of the funding a public charter school student generates for an LEA pursuant to this section must not be allocated to the LEA, but must be allocated directly to the public charter school.

(2) A student's membership in an LEA begins on the first day of the student's membership and ends on the last day of the student's membership in the LEA, except that the membership of a student who graduates early is extended to the student's expected graduation date for funding purposes.

SECTION 3. Tennessee Code Annotated, Section 49-3-316, is amended by adding the language "or public charter school" after the language "LEA" wherever it appears in subsection (c) and by adding the following as a new subsection:

(f)

(1) The commissioner, in consultation with the comptroller of the treasury, shall develop, revise as necessary, and prescribe a standardized system of financial accounting and reporting for all public charter schools, including appropriate forms or other documentation. This system must be designed to facilitate year-to-year and agency-to-agency comparison, as well as adequately indicating the sources and uses of all funds received by each public charter school. The commissioner shall review the fiscal public school records in all public charter schools to the end that the expenditure of funds, whether for current operation and maintenance purposes, capital outlay purposes, and other school purposes, are properly accounted for and safeguarded.

(2) The commissioner may require public charter schools that receive allocations of state education funding pursuant to part 1 of this chapter or otherwise to comply with one (1) or more of the requirements established for LEAs in this section, as the commissioner deems appropriate or applicable.

SECTION 4. Tennessee Code Annotated, Section 49-13-112, is amended by deleting subsection (a) and substituting instead the following:

(a)

(1) A local board of education shall allocate to the public charter school an amount equal to:

(A) The local student-generated funds for member students in the public charter school for the prior year in alignment with the TISA pursuant to chapter 3, part 1 of this title;

(B) The average per pupil state and local funds received by the district in the current school year above those required by the TISA for each member student in the public charter school in the prior year;

(C) The per student state and local funds received by the LEA for member students in the public charter school in the current school year beyond the prior year's membership; and

(D) All appropriate allocations under federal law or regulation, including, but not limited to, IDEA and ESEA funds.

(2) The department of education shall allocate directly to the public charter school an amount equal to the state student-generated funds for member students in the public charter school for the prior year in alignment with the TISA pursuant to chapter 3, part 1 of this title.

(3) Federal funds received by the LEA must be disbursed to public charter schools authorized by the LEA by either joint agreement on shared services by individual public charter schools or sub-grants to a public charter school for the public charter school's equitable share of the federal grant based on eligible students. The allocation must be made in accordance with the policies and procedures developed by the department of education.

(4) Each LEA shall include as part of its budget submitted pursuant to § 49-2-203, the per pupil amount of local money it will pass through to public charter schools during the upcoming school year, including all calculations listed in this section. Allocations to public charter schools during that year must be

based on the calculated amounts. The LEA shall distribute the portion of local funds it expects to receive in no fewer than nine (9) equal installments to public charter schools in the same manner as state funds are distributed pursuant to chapter 3 of this title. An LEA shall adjust local payments to public charter schools, at a minimum, in October, February, and June, based on changes in revenue, student membership, or student services. All funds received by a public charter school must be spent according to the budget submitted or as otherwise revised by the public charter school governing body, subject to the requirements of state and federal law.

SECTION 5. Sections 1 and 3 of this act take effect upon becoming a law, the public welfare requiring it. For rulemaking purposes, Sections 2 and 4 of this act take effect upon becoming a law, the public welfare requiring it. For all other purposes, Sections 2 and 4 of this act take effect July 1, 2025, the public welfare requiring it.